



BUSINESS ANALYSIS REPORT

client
Popular Auto Spare and A/C Parts Co. W.L.L



Consultant

UNIGLOBAL
CONSULTANCY

SALES PROCESS
DATE: 30-MAR-2026

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30-03-2026

PREFACE

The Sales Counter Process is a critical component of the overall business operation, ensuring smooth, accurate, and accountable handling of day-to-day sales activities. This document outlines the standardized procedures for managing sales transactions, return handling, sales posting, and inventory closing, forming a structured workflow that enhances operational efficiency and financial transparency.

At the sales counter level, every transaction—whether a sale or a return—directly impacts inventory levels, financial records, and customer satisfaction. Therefore, it is essential to maintain a controlled and well-defined process. The system is designed to ensure that all sales are recorded accurately, returns are processed based on defined policies such as “Return Allowed,” and unauthorized actions are prevented through system validations.

Sales posting plays a vital role in transferring transactional data into the accounting system, ensuring that revenue, taxes, and receivables are properly recorded. Similarly, inventory closing ensures that stock movements are validated, reconciled, and locked for a specific period, preventing discrepancies and unauthorized modifications.

This document aims to provide clear guidance to users and administrators on how to effectively operate the sales counter system while maintaining data integrity, accountability, and compliance with business rules. By following these processes, organizations can achieve better control over sales operations, minimize errors, and ensure accurate financial and inventory reporting.



TABLE OF CONTENT

1.Sales-----	5
1.1. Objective -----	5
1.2. Business Overview and Operational Context -----	5
1.3. Customer Master Management-----	6
1.4. Sales Initiation and Customer Interaction -----	9
1.5. Item Identification, Intelligent Search & Pricing Control-----	10
1.6. Sales Process with Handheld Devices -----	13
1.7. Sales Attribution & Performance Accountability (Cart-to-Billing Ownership) -----	18
1.8. Sales Return Management Module -----	20
1.9. Inventory Impact and Item Handling in Sales Return -----	28
1.10. Commission Adjustment on Sales Return -----	29
1.11. Settlement Adjustment on Sales Return -----	30
1.12. Less Item Handling Module (DOC-002 Reference)-----	30
1.13. Branch-to-Branch Transfer (DOC-003 Reference) -----	32
1.14. Branch-to-Garage Sales -----	32
1.15. Sales Document Modules-----	32
1.16. Other Accounting Documents Handling in Branches -----	45
1.17. Accounting & Branch Financial Control Module -----	50
1.18. Daily Closing Process -----	54
1.19. Audit & Control -----	55
1.20. Pricing Update Notification -----	56
1.21. Conclusion-----	56



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Consultant Review UniGlobal				
Client Approval Popular				

Doc ID	Version	Revision	Date	Status
DOC - 004	v1.0	0	30-Mar-2026	Initial Draft



1. Sales

1.1. Objective

The Sales Module is a core component of the ERP system designed to manage and optimize the complete sales lifecycle across all branches of **Popular Auto Spare Parts Company**. The module is intended to support high-speed operations in a spare parts environment, where accuracy, speed of identification, and pricing control are critical.

Each branch operates semi-independently with its own inventory, sales team, and customer interactions. However, all branches follow standardized processes governed by centralized controls such as pricing policies, approval workflows, and promotional rules. The system ensures seamless coordination between branches, management, and customers while maintaining real-time data synchronization.

This document defines the combined **Business Requirements and Functional Specifications for the Sales Module of the ERP system**. The module is designed to support and streamline the complete sales lifecycle across multiple branches of the organization, ensuring operational efficiency, pricing control, inventory accuracy, and enhanced customer service.

The system must support high transaction volumes, rapid item identification, and flexible sales workflows while maintaining strict governance over pricing, approvals, and financial accounting.

1.2. Business Overview and Operational Context

The organization operates as a geographically distributed enterprise with a **multi-country and multi-branch structure**, where each branch functions as an independent operational unit while remaining fully integrated within a centralized ERP ecosystem.

Each branch is established within a specific country and operates under that country's regulatory, taxation, and currency requirements. At the same time, all branches adhere to standardized organizational policies related to inventory control, sales processes, and reporting. This ensures consistency in operations while allowing flexibility to address local market conditions.

Every branch is managed by a **Branch Manager** and supported by a **team of sales personnel**. Each branch maintains its own inventory, customer base, and day-to-day sales operations. However, data across all branches and countries is synchronized in real time to provide centralized visibility and control for management.

Stock is transferred to branches either from a central warehouse, regional distribution centres, or through local procurement processes. Upon receipt, the Branch Manager is responsible for verifying the stock and recording it into the branch inventory system.

Within each branch, items are organized according to a predefined location structure, which is designed to optimize storage efficiency and retrieval speed. Sales personnel are responsible for placing items in their designated locations and confirming placement using P-Code scanning. This ensures accurate tracking of item locations and supports quick identification during sales transactions.

The system must support:

- Multi-country operations with country-specific configurations such as currency, tax rules, and compliance requirements
- Multi-branch inventory management with real-time synchronization
- Centralized control over pricing, promotions, and approvals

1.3. Customer Master Management

The Customer Master module serves as the centralized repository for maintaining all customer-related information across the organization. It is a critical component that supports sales operations, credit management, and financial tracking across multiple branches.

Given the organization operates in a multi-branch and multi-location environment, the system is designed to ensure that customer data is managed centrally while still allowing branches the flexibility to perform day-to-day operations efficiently. This approach enables consistency, prevents duplication, and ensures that financial exposure and customer relationships are managed at an organizational level rather than in isolation.

The module is tightly integrated with key business functions including sales, accounting, credit control, and reporting, thereby enabling a seamless flow of information across the system.

1.3.1 Business Objectives

The primary objective of the Customer Master module is to establish a single source of truth for customer information across all branches. This ensures that all customer interactions, transactions, and financial records are consistently maintained and easily accessible.

The system is designed to:

- Maintain centralized and standardized customer data
- Prevent duplicate customer creation across branches
- Enable effective credit management and control
- Support multiple customer categories with different business rules
- Provide consolidated visibility of customer transactions and outstanding balances
- Allow controlled access for branches to perform customer-related operations

The system supports both globally shared customers and, where required, branch-specific customer records. All customer records remain accessible across branches, while the system identifies and maintains the originating branch as the primary branch for each customer.

1.3.2 Customer Classification

Customers are categorized based on their nature of business and transactional behaviour. This classification allows the system to apply appropriate pricing policies, credit rules, and operational workflows.

Customer types include retail customers, corporate clients, company, garages, dealers, and credit customers. Each category is associated with specific characteristics such as transaction volume, pricing agreements, and credit eligibility.

For example, retail customers typically operate on a cash basis with minimal data requirements, whereas corporate and company customers may have defined credit limits, negotiated pricing, and formal contractual arrangements. Garage and dealer customers often engage in frequent transactions and may benefit from specialized pricing structures or discounts.

This classification ensures that the system can adapt dynamically to different customer profiles and business requirements.

1.3.3 Customer Information Management

The system captures comprehensive customer information to support operational, financial, and compliance requirements.

At a basic level, each customer record includes a **unique system-generated customer code, customer name, type, status, and primary branch association**. Customers can also be categorized into segments to support reporting and analysis.

Detailed contact information is maintained, including **contact person details, mobile numbers, phone numbers, email addresses, and preferred communication methods and multipul attachments**. This ensures effective communication and relationship management.

The system supports multiple addresses for each customer, including **billing and shipping addresses, along with location details such as city and country**.

To meet regulatory and compliance requirements, the system also captures legal identifiers such as **commercial registration numbers, VAT or tax numbers, and other relevant documentation depending on the customer type**.

Banking details are maintained for customers where applicable, particularly for corporate and credit customers. These details **include bank name, account holder name, account number or IBAN, SWIFT code, and branch information, supporting financial transactions such as refunds and settlements**.

1.3.4 Credit Management

A key aspect of the Customer Master module is credit control. For customers operating on credit, the system maintains detailed credit-related parameters including **credit limit, credit period, current outstanding balance, and allowable credit variation**.

Before processing any credit transaction, the system validates the customer's available credit. If the transaction exceeds the defined limit, the system generates warnings and restricts further processing based on configured rules.

In situations where exceptions are required, the system supports a **structured approval workflow for credit overrides**. Requests for exceeding the defined credit limits can be routed to authorized personnel such as the Branch Manager, Chief Purchase Officer (CPO), or Accounts Department.

The system allows a controlled level of flexibility by permitting overrides within a predefined percentage threshold. Sales users or branch managers may proceed with transactions within this allowable variation without requiring higher-level approval (if applicable).

However, if the requested override exceeds the predefined threshold, the system will enforce mandatory approval from higher management. Such requests must be escalated to authorized personnel, ensuring that all exceptions beyond the permitted limits are reviewed and approved before processing.

This approach ensures that financial risks are effectively controlled while still providing operational flexibility within defined boundaries.

1.3.5 Customer Creation and Data Control

To maintain data integrity, customer creation is governed by strict validation and control mechanisms. Customers can be created either directly from the Customer Master module or during the sales process.

The system performs duplicate checks based on key identifiers such as **mobile number, commercial registration number, and customer name** to prevent redundancy. For certain customer types, especially those involving credit or corporate relationships, the system may enforce an approval workflow before the customer record becomes active.

This ensures that customer data remains accurate, consistent, and reliable across the organization.

1.3.6 Multi-Branch Customer Handling

In a multi-branch setup, it is common for customers to transact with more than one branch. The system is designed to handle this efficiently through a centralized customer model.

Under this model, a single customer record is shared across all branches. While transactions are recorded at the branch level, the system maintains both branch-wise transaction history and consolidated financial exposure.

Credit limits are enforced at a global level. For example, if a customer has a credit limit of 10,000 and has already utilized 6,000 in one branch, only the remaining 4,000 is available for transactions across other branches. This ensures unified control over credit exposure.

Branches are allowed to access and use customer records for transactions, but modification rights can be restricted based on user roles and permissions, ensuring centralized governance.

1.3.7 Customer Financial Tracking

The system maintains a comprehensive financial history for each customer through an integrated ledger. This includes all invoices, payments, returns, and adjustments.

Users can view outstanding invoices, overdue amounts, and overall account balances. The system supports flexible payment allocation, allowing settlements against specific invoices or as on-account payments.

This level of financial visibility enables better credit control, faster collections, and improved customer relationship management.

1.3.8 Customer Settlement Management

The Customer Settlement Management process within the Sales Module governs the reconciliation of all financial transactions between the organization and its customers, ensuring that outstanding balances, payments, credit sales, and adjustments are accurately tracked and settled in a controlled and auditable manner. The system maintains a running ledger for each customer that reflects invoices, cash memos, credit notes, returns, payments received, and any other financial adjustments. It enables branches and the accounts department to monitor customer outstanding balances, credit utilization, and aging analysis in real time across a multi-branch environment. Settlement activities may include recording payments against specific invoices or as general receipts, adjusting advances, applying credit notes, and reconciling discrepancies between expected and received amounts.

From a control perspective, the system shall enforce validation of customer credit limits, payment terms, and outstanding balances before allowing further credit-based transactions. Any settlement involving adjustments, write-offs, or exceptions shall be routed through an approval workflow based on predefined thresholds and authorization levels, ensuring proper oversight by branch managers or the accounts department. The system shall maintain a complete audit trail of all settlement activities, including the initiating user, approving authority, timestamps, and remarks, ensuring full traceability and compliance.

Additionally, the Customer Settlement Management process integrates closely with accounting and reporting modules to automatically generate the necessary journal entries for payments, receivables adjustments, and reconciliations. It also supports branch-level and centralized (head office) visibility, enabling consolidated financial monitoring as well as branch-specific settlement tracking. Overall, this module ensures accurate financial reconciliation, strengthens credit control, reduces outstanding risks, and provides clear visibility into customer financial positions across the organization.

1.3.9 Approval and Governance

To ensure proper control and governance, the system incorporates approval mechanisms for critical customer-related actions. These include changes to credit limits, customer blocking or unblocking, and eligibility for special pricing.

Such actions require authorization from designated roles such as Branch Managers, the CPO, or the Accounts Department. This layered approval structure ensures accountability and reduces the risk of unauthorized decisions.

The implementation of a centralized Customer Master module enables the organization to achieve consistent and reliable customer data management across all branches. It strengthens credit control, enhances operational efficiency, and improves financial visibility.

By eliminating duplication, enforcing standardized processes, and integrating with core business functions, the system supports better decision-making and contributes to improved customer service and organizational performance.

1.4. Sales Initiation and Customer Interaction

Sales activities within the organization are initiated through multiple customer engagement channels, reflecting the dynamic and fast-paced nature of the spare parts business. These channels include walk-in customers at branch locations, phone enquiries, WhatsApp communications, and email requests. The

system must be capable of supporting seamless interaction and tracking across all these channels to ensure no customer enquiry is missed or delayed.

Customers interacting with the business are broadly categorized into different segments such as retail customers, corporate clients, and company accounts. Each category may have distinct business rules associated with it, including discount eligibility, credit terms, and service priorities. The system must be capable of identifying the customer category at the time of interaction and automatically applying the relevant rules and configurations during the sales process.

Customers may initiate transactions in two primary ways. In some cases, customers approach the branch with a clear intent to make an immediate purchase. In other situations, especially for bulk or corporate requirements, customers may request a formal quotation before confirming the order. The system must therefore support both direct billing workflows and quotation-based sales processes, allowing smooth conversion from enquiry to quotation and ultimately to invoicing.

A key challenge in the spare parts industry is that customers often do not possess complete or accurate information about the required items. Instead of providing exact part numbers, customers may share partial or indirect details such as vehicle model, VIN (Vehicle Identification Number), chassis number, or even bring physical samples of the required parts.

To address this, the system must be designed to handle flexible and incomplete inputs, enabling sales personnel to efficiently interpret customer requirements and identify the correct items. This requires strong integration between customer interaction processes and item identification capabilities, ensuring that even with limited information, the salesperson can quickly arrive at accurate results and provide reliable service.

Overall, the system must enhance the customer interaction experience by enabling faster response times, reducing dependency on individual expertise, and ensuring consistent service quality across all branches and sales channels.

1.5. Item Identification, Intelligent Search & Pricing Control

Accurate and efficient item identification is a critical success factor in the spare parts sales process. Due to the nature of the business, customers often provide incomplete or indirect information such as vehicle model, VIN/chassis number, or physical samples instead of exact part numbers. This makes the identification process highly dependent on both salesperson expertise and system intelligence.

To address this challenge, the system is designed to support multiple identification methods and provide a highly responsive and intelligent search mechanism. The objective is to enable salespersons to quickly and accurately identify the required parts, suggest alternatives where necessary, and proceed with the sales process without delays.

In addition to identification, the system must support real-time access to relevant transactional and pricing data. This ensures that salespersons can make informed decisions while interacting with customers, especially in competitive or negotiation scenarios.

1.5.1 Item Identification Approaches

The system shall support three primary methods of item identification to accommodate different types

of customer inputs and real-world scenarios.

1. Sample-Based Identification

When a customer provides a physical sample, the salesperson identifies the item using a combination of personal knowledge and system-assisted search.

The system must allow searching through item master data using multiple parameters such as:

- Item name
- Vehicle compatibility (Such as Brands Modal, Year of Manufacturing, Vehicle Brands etc)
- Part number
- Internal P-Code

This approach ensures flexibility and supports cases where no structured data is available from the customer.

2. VIN / Chassis-Based Identification

When a customer provides a VIN or chassis number, the salesperson uses external tools (such as Partsouq) to decode the vehicle details and retrieve OEM part numbers.

The retrieved OEM number is then used within the ERP system to:

- Identify corresponding items
- Display available brands and alternatives
- Validate fitment details, variants, and specifications

This method ensures high accuracy in part identification and reduces the risk of incorrect sales.

3. Measurement-Based Identification

For specific categories such as bushes, oil seals, and pistons, identification is based on physical measurements.

Salespersons use tools such as calipers to measure dimensions and input these values into the system. The system then maps the measurements to matching items stored in the database.

This approach is essential for items where visual or numerical matching is required rather than standard part references.

1.5.2 Intelligent Item Search and Data Retrieval

The efficiency of the sales process is heavily dependent on the speed and intelligence of the item search functionality. The system shall provide a high-performance search engine capable of retrieving results instantly based on any input, including partial or incomplete keywords.

Search Capabilities

The system shall support search using:





- Item name
- OEM number
- P-Code
- Vehicle details (Such as Brands Modal, Year of Manufacturing, Vehicle Brands etc)
- Any keyword or partial text

Search Results Behaviour

The system shall:

- Display exact matching items
- Display mapped or alternative items
- Include mappings maintained in item master (including comments, notes or related fields)

This ensures that salespersons can quickly identify not only the requested item but also suitable alternatives, improving sales conversion and customer satisfaction.

Contextual Data for Decision Support

To support pricing decisions and customer negotiations, the system shall provide real-time access to relevant transactional data for each item.

The system shall display:

- Last 20 sales transactions (excluding local purchase transactions)
- Last selling price
- Maximum Retail Price (MRP)
- Customer-wise sales history

Additionally, the system may allow users to retrieve extended transaction history beyond the last 20 records when required.

This information enables salespersons to make informed pricing decisions while maintaining consistency with past transactions.

1.5.3 Pricing Control and Approval Mechanism

Pricing governance is a critical control within the sales module to ensure consistency, profitability, and compliance with company policies.

The system shall enforce restrictions that prevent items from being sold below the last recorded selling price without proper authorization.

Pricing Validation

- The system shall validate selling price against last selling price
- If the entered price is below the allowed threshold, the system shall block the transaction or require approval

Approval Workflow

If a salesperson needs to offer a price below the allowed limit:

1. A request shall be initiated by the Branch Manager
2. The request shall include justification/remarks
3. The request shall be routed to the Chief Purchase Officer (CPO)
4. The CPO shall review and either:
 - Approve the request
 - Reject the request

The system shall notify the branch of the decision in real time.

1.5.4 Special Pricing and Promotions

The system shall support centrally managed pricing strategies defined by the CPO, including:

- Special discounted pricing
- Zero pricing (in exceptional cases)
- Customer-specific pricing
- Bulk or invoice-based discounts

All such pricing rules shall:

- Be time-bound with defined validity periods
- Define whether it is applicable to all branches or defined branches

During the active period of promotions, pricing shall be locked as per defined rules to ensure consistency.

1.6. Sales Process with Handheld Devices

The handheld device-based sales process is designed to enable fast, flexible, and mobile billing operations within branch environments. It allows salespersons to interact directly with customers on the shop floor, identify items, build carts, and complete transactions without being restricted to a fixed billing counter.

The system must support both standard sales flow and real-world exceptions such as transaction holding, multi-salesperson collaboration, and cart transfer. The goal is to ensure uninterrupted customer service even during peak hours while maintaining data accuracy, control, and traceability.

1.6.1 Activity 1: Cart Creation and Item Addition

Salespersons use handheld devices to create a sales cart while interacting with customers. Items are identified and added in real time using barcode/QR scanning or manual P-Code entry.

The process must be fast and intuitive, allowing the salesperson to build the cart dynamically as the customer confirms items. The system should also display item details, stock availability, and pricing information instantly.

Functional Requirements

- The system shall allow cart creation on handheld devices
- The system shall support item addition via:
 - Barcode/QR code scanning
 - Manual P-Code entry
- The system shall display:
 - Item name and details
 - Available quantity
 - Selling price and MRP
 - Past transactions item wise and customer wise
- The system shall validate:
 - Stock availability
 - Duplicate item entries (merge quantities if needed)

1.6.2 Activity 2: Real-Time Pricing and Validation

As items are added to the cart, the system must validate pricing rules and display relevant pricing information. Salespersons should be able to apply discounts within permitted limits while ensuring compliance with company pricing policies.

Functional Requirements (SRS)

- The system shall display:
 - Last selling price
 - MRP
 - Applicable discounts
- The system shall:
 - Restrict pricing below allowed limits
 - Trigger approval workflow if price override is attempted
- The system shall validate:
 - Discount percentage limits
 - Customer-specific pricing rules

1.6.3 Activity 3: Cart Finalization and Billing

Once all items are added and confirmed, the salesperson proceeds to billing. The system generates an invoice or cash memo and captures payment details.

Functional Requirements

- The system shall allow invoice generation from handheld devices
- The system shall support:
 - Cash Memo (immediate payment)
 - Credit Invoice
 - Delivery Note



- The system shall:
 - Generate unique invoice number
 - Update inventory in real time
 - Record transaction under the logged-in salesperson

1.6.4 Activity 4: Payment Processing

The system must support multiple payment methods and allow quick payment collection directly from handheld devices.

Functional Requirements

The system shall support:

- Cash
- Card
- Cheque
- Benefit Pay
- QR-based payment gateway
- The system shall:
 - Generate QR code for digital payments
 - Confirm payment before invoice finalization
 - Record payment details against invoice

1.6.5 Exception Scenario 1: Sales On-Hold

During peak hours or interruptions, the salesperson may need to temporarily pause a transaction. The system must allow placing a cart on hold without losing data.

Held transactions should be accessible by other authorized users within the branch to ensure continuity.

Functional Requirements

The system shall allow placing a cart on hold

- The system shall:
 - Generate a temporary transaction number
 - Save cart details in "On Hold" list
- The system shall allow:

Retrieval of held transactions

Editing and continuation of billing

- The system shall:
 - Require a reason for cancellation of held transactions
 - Maintain audit logs

1.6.6 Exception Scenario 2: Cart Transfer (QR-Based)

In high-traffic situations, multiple salespersons may serve a single customer. The system must allow transferring a cart from one salesperson to another using QR code technology.

This ensures seamless collaboration and faster service without requiring the customer to restart the process.

Functional Requirements

Cart Transfer Process

- The system shall allow generating a QR code for a cart
- The QR code shall represent complete cart details
- The system shall allow another salesperson to:
 - Scan the QR code
 - Retrieve the cart

Controls

- The system shall:
 - Mark the original cart as transferred
 - Prevent duplicate usage
- The receiving salesperson shall:
 - Continue editing the cart
 - Proceed with billing

Sales Attribution

- The system shall assign the sale to the salesperson who completes billing
- The system shall maintain:
 - Cart transfer logs
 - Audit trail

1.6.7 Exception Scenario 3: Device Failure / Scan Failure

In case of barcode/QR scanning failure or device issues, the system must provide fallback mechanisms to ensure uninterrupted sales.

Functional Requirements

- The system shall allow manual P-Code entry
- The system shall allow item search via keyword
- The system shall allow continuation of cart on another device

1.6.8 Exception Scenario 4: Credit Limit Exceeded

When dealing with credit customers, transactions may exceed the allowed credit limit. The system must handle this through controlled approval workflows.

Functional Requirements

- The system shall:
 - Validate customer credit limit
 - Display exceeded amount and allowed variance
- The system shall allow:
 - Credit extension request
- The system shall route request to:
 - Branch Manager / CPO / Accounts
- The system shall:
 - Allow or block billing based on approval

1.6.9 Exception Scenario 5: Transaction Cancellation

If a transaction is no longer required, it must be cancelled with proper tracking for audit purposes.

Functional Requirements

- The system shall allow cancellation of:
 - On-hold transactions
 - Active carts (before billing)
- The system shall:
 - Require mandatory reason
 - Maintain audit logs

1.6.10 End-to-End Handheld Sales Workflow

Standard Flow

Customer -> Item Identification -> Cart Creation -> Pricing Validation -> Billing -> Payment -> Invoice

Exception Flows

- On Hold -> Pause -> Resume
- Cart Transfer -> QR -> Continue -> Bill
- Credit Exceed -> Request -> Approval -> Continue
- Scan Failure -> Manual Entry -> Continue

1.6.11 Business Outcomes

The handheld device-based sales process ensures:

- Faster customer service
- Reduced queue time
- Real-time billing anywhere in the branch
- Efficient collaboration among sales staff



- Accurate and controlled sales transactions
- Improved customer experience during peak hours

1.7. Sales Attribution & Performance Accountability (Cart-to-Billing Ownership)

In a dynamic branch environment, especially during peak hours, multiple salespersons may collaborate in serving a single customer by identifying items and adding them to the cart. However, for the purposes of accountability, performance tracking, and incentive calculation, it is essential to clearly define ownership of each completed sale.

The system shall adopt a **"Cart-to-Billing Ownership" concept**, where the final responsibility and credit for a sale are assigned to the salesperson who completes the billing process.

This means that regardless of how many salespersons contributed to building the cart (through item identification, scanning, or cart transfer), the sale will be officially recorded under the salesperson who pushes the cart to invoice generation.

This approach ensures:

- Clear ownership of sales transactions
- Accurate performance measurement of sales personnel
- Simplified commission calculation
- Elimination of ambiguity in shared sales scenarios

Additionally, for internal analysis and operational transparency, the system may optionally track contributing salespersons without affecting final sales ownership.

1.7.1 Functional Requirements

- The system shall assign the sale to:
 - The salesperson who generates the final invoice
- The system shall:
 - Capture the user ID of the billing salesperson
 - Link the invoice to that salesperson

1.7.2 Cart Handling and Attribution Logic

- The system shall allow:
 - Multiple salespersons to create or modify carts
 - Cart transfer between devices (QR-based)
- The system shall ensure:
 - Ownership is not assigned during cart creation
 - Ownership is assigned only at billing stage

1.7.3 Integration with Performance Analysis

Sales performance analysis is a key objective of the system. The organization requires accurate tracking

of sales achieved by each salesperson to evaluate productivity, efficiency, and contribution to revenue.

The system must ensure that all sales reports and analytics are based on the **final billing ownership**, not intermediate cart activities.

Functional Requirements

- The system shall generate reports based on:
 - Invoice-level salesperson assignment
- The system shall support:
 - Salesperson-wise sales reports
 - Branch-wise performance analysis
 - Commission calculations
- The system shall:
 - Exclude cart-level activities from primary performance metrics
 - Include only finalized transactions (invoices and valid returns adjustments)

Handling Returns and Adjustments

To ensure accurate performance evaluation, any returns or cancellations must be properly reflected against the original salesperson's sales.

The system shall:

- Link returns to the original invoice
- Adjust sales value of the assigned salesperson
- The system shall:
 - Reflect net sales (Sales – Returns) in performance reports

1.7.4 Exceptions

In cases where an employee brings a sales lead to the store, but the lead is processed through another sales person's wallet, the sales credit will be assigned to the sales person who created and handled the wallet, not the original lead creator.

Scenario 1

In a branch with 10 employees, only 8 may be equipped with handheld devices, as the remaining 2 employees are not directly involved in the sales process. However, these employees may still generate leads through their own reliable sources.

In such cases, the Branch Manager is authorized to act on behalf of employees who do not have handheld devices. The Branch Manager can:

Create a wallet in the name of the employee who generated the lead

Add items to the wallet based on the customer's requirements

Complete the sales transaction



This ensures that the sales credit is properly attributed to the employee who generated the lead, even if they do not have access to a handheld device.

Note: The Branch Manager is permitted to create wallets only for employees who do not have handheld devices.

1.8. Sales Return Management Module

The Sales Return module manages the return of goods from customers after either:

- A Sales Invoice has been generated, or
- A Delivery Note (DN) has been issued (with or without subsequent invoicing).

Given the operational nature of the business, where delivery may occur before invoicing, the system supports a unified return mechanism capable of handling both document types seamlessly.

In addition, the system incorporates a **Global Return Policy** configured and controlled by the CPO / Purchase Department. This policy enables authorized users to define a standard return window (such as 7 days or 10 days) applicable across all items and transactions.

Under this global policy:

Returns are permitted only within the defined time period from the date of invoice or delivery.

The system automatically validates return eligibility based on the configured duration.

Any return request exceeding the allowed period will be restricted and blocked by the system.

Furthermore, the system provides the flexibility to define Item-Level Return Policies. The CPO / Purchase Department can configure specific return rules for individual items, overriding the global policy where required. This allows better control for sensitive, non-returnable, or special-category items.

Additionally, an Override Mechanism with Manager Approval is available:

Authorized managers can approve return requests even after the allowed return period has expired.

The duration within which such overrides are permitted (e.g., additional grace days) can be predefined and controlled by the CPO / Purchase Department.

All override actions are subject to proper authorization and system tracking to ensure accountability and audit compliance.

This multi-level return policy framework ensures strong governance while maintaining operational flexibility, enabling the organization to handle returns efficiently without compromising control.

1.8.1 Business Requirement

The system must support multiple return scenarios:

- Return against **Invoice** (financial impact)
- Return against **Delivery Note** (stock impact, possible financial impact later)
- Unified return handling where:

- Invoice may or may not exist
- Delivery and billing cycles differ

The system must:

- Link returns to original transactions
- Support full and partial returns
- Maintain audit trails
- Adjust inventory and financial records appropriately

1.8.2 Invoice-Based Return

Occurs when goods are returned after invoicing has been completed.

Process Flow

- User retrieves invoice using:
 - Invoice number
 - Customer details
 - Barcode/QR Code Scanning/P-Code
- System allows:
 - Full invoice return
 - Partial (line-item) return
- Returned items are verified and processed

Inventory Impact

- Returned items are:
 - Re-entered into stock
 - Assigned original batch/location

Financial Impact

When a return is processed against a confirmed sales invoice, the transaction directly affects both inventory and financial records.

From an inventory perspective, the returned items are re-entered into stock with their original batch and location details. From a financial perspective, the system performs a reversal of the original sale.

The system shall:

- Reverse the sales revenue corresponding to the returned items
- Reverse applicable VAT components proportionately
- Adjust the customer's outstanding balance or receivable
- Generate a credit note or refund voucher, depending on the settlement method

If the original invoice was already settled (fully or partially), the system shall handle:

- Cash refunds, or
- Adjustment against future invoices

This ensures that both inventory and financial books remain synchronized and accurate.

Commission Impact

- Sales commission is:
 - Reversed or adjusted
 - Updated in next payout cycle

Functional Requirements

- The system shall link returns to original invoice
- The system shall prevent excess return beyond sold quantity
- The system shall generate return documents
- The system shall maintain audit logs

1.8.3 Delivery Note-Based Return

Occurs when goods are delivered but:

- Invoice is not yet generated, OR
- Delivery is partially/fully reversed before billing

Process Flow

- User retrieves Delivery Note using:
 - DN number
 - Customer
 - Scanning/P-Code
- System allows:
 - Full DN return
 - Partial return

Inventory Impact

- Returned items are:
 - Added back to inventory
 - Restored to original location

Financial Impact

In cases where goods are returned against a delivery note and no invoice has yet been generated; the impact is limited to inventory only.

The system shall:

- Re-enter returned items into stock

- Adjust the delivered quantity records
- Reduce or eliminate pending quantities for future invoicing

Since no financial transaction has been recorded at this stage, there is:

- No impact on revenue
- No impact on VAT
- No impact on customer receivables

This ensures that future billing reflects only the actual delivered and retained quantities.

Scenario 1: No Invoice Generated

- No financial entry required
- Only stock reversal

Scenario 2: Invoice Generated Later

- System adjusts:
 - Pending invoice quantity
 - Billing eligibility

Functional Requirements

- The system shall allow return against DN
- The system shall adjust pending invoice quantities
- The system shall prevent billing for returned items
- The system shall maintain linkage between DN and return

1.8.4 Unified Return Mechanism

Due to mixed workflows (DN-first, Invoice-later), the system must provide a single **unified return interface**.

The system shall:

- Accept input:
 - Invoice Number OR
 - Delivery Note Number OR
 - Item Scan
- Automatically identify:
 - Source document type
 - Transaction status

Financial Impact

In scenarios where an invoice has already been generated based on a delivery note, the return must be treated similarly to an invoice return, affecting both inventory and financial records.

The system shall:

- Reverse inventory for returned items
- Adjust invoice values proportionately
- Reverse revenue and VAT for the returned portion
- Adjust customer receivables accordingly

The system must ensure synchronization between:

- Delivery records
- Invoice records
- Return transactions

This prevents discrepancies between what was delivered, billed, and ultimately retained by the customer.

Across all scenarios, the system ensures:

- Proper linkage between return documents and source documents
- Prevention of duplicate or excess financial reversals
- Real-time update of financial and inventory records

1.8.5 Return Identification Methods

The system shall support:

- Invoice number search
- Delivery Note search
- Customer-based search (Name, Mobile Number ,VAT Etc)
- QR code scanning
- Manual item lookup (fallback)

1.8.6 Validation & Controls

The system shall enforce:

- Return quantity $\leq$ sold/delivered quantity
- Mandatory reason for return
- Authorization (if required) *(For items where returns are not permitted, users will be restricted from processing returns, and the system will automatically block such return entries.)*
- Duplicate return prevention

1.8.7 Document Generation in Sales Return Process

Document generation is a critical component of the sales return process, ensuring that every return transaction is formally recorded, traceable, and compliant with financial and audit requirements.

The system must automatically generate appropriate documents based on the type and stage of the return transaction. These documents serve as:

- Proof of transaction
- Basis for inventory updates
- Source for financial adjustments
- Audit references for tracking and compliance

Each return-related document must be system-generated, uniquely identifiable, and directly linked to the original sales transaction (invoice or delivery note).

Types of Documents Generated

1. Return Document / Cancellation Note

Every return transaction, regardless of whether it impacts financials, must generate a **Return Document (also referred to as a Cancellation Note)**. This acts as the primary operational record of the return.

Functional Behaviour

The system shall:

- Generate a Return Document upon confirmation of return
- Capture:
 - Reference to original document (Invoice / Delivery Note)
 - Customer details
 - Item details (including quantities returned)
 - Return reason (mandatory)
 - Date and time of return
 - User (salesperson) who processed the return
- Support:
 - Full return
 - Partial (line-item) return

Purpose

- Acts as the base document for:
 - Inventory updates
 - Further financial processing
- Provides audit trail for all return activities

2. Credit Note (For Invoice Returns)

When a return is processed against an invoice, the system must generate a **Credit Note** to reflect the financial reversal of the sale.

Functional Behaviour

The system shall:

- Automatically generate a Credit Note for:
 - Full invoice return
 - Partial return of invoiced items
- Capture:
 - Original invoice reference



- Customer account details
- Value of returned items
- VAT adjustments (if applicable)
- Adjust:
 - Customer receivable balance
 - Revenue and tax records

Usage

The Credit Note can be used for:

- Adjusting against future invoices
- Reducing outstanding balances
- Supporting refund processing (After confirmation of the branch manager the return refund can be initiative)
- Credit Notes must be:
 - Linked to the original invoice
 - Restricted from exceeding invoice value
 - Subject to approval (if configured)

3. Refund Voucher (If Applicable)

In cases where the customer is eligible for a direct refund (e.g., cash sales or immediate settlement), the system must generate a **Refund Voucher**.

Functional Behaviour

The system shall:

- Generate a Refund Voucher when:
 - Payment has already been received
 - Customer opts for refund instead of credit
- Capture:
 - Payment mode (Cash / Card / Bank / Benefit Pay, etc.)
 - Refund amount
 - Reference to:
 - Credit Note
 - Original Invoice
- Support:
 - Full refund
 - Partial refund

Integration

The Refund Voucher shall integrate with:

- Cash/Bank module
- Daily cash settlement
- Accounting entries

1.8.8 Document Numbering Structure

All documents must follow a standardized and unique numbering system to avoid duplication and ensure traceability across branches.

Functional Requirements

The system shall:

- Generate unique document numbers automatically
- Follow a structured format such as:

Branch Code – Document Type – Year – Running Number

Example:

- BR-RTN-2026-000123
- BR-CN-2026-000045

The system shall prevent:

- Duplicate document numbers
- Conflicts during simultaneous transactions (multi-user handling)

1.8.9 Document Linking and Traceability

Every generated document must be traceable to its source transaction to ensure auditability and transparency.

The system shall:

- Link:
 - Return Document -> Original Invoice / Delivery Note
 - Credit Note -> Invoice
 - Refund Voucher -> Credit Note / Invoice
- Maintain:
 - Full transaction chain
 - Cross-referencing between documents

Work Flow: Invoice -> Return Document -> Credit Note -> Refund Voucher

1.8.10 Audit and Compliance

The system shall:

- Maintain audit logs for all generated documents

- Capture:
 - Created by
 - Approved by (if applicable)
 - Date and time
- Prevent:
 - Deletion of finalized documents
 - Unauthorized modification

This structured document generation process ensures:

- Complete traceability of return transactions
- Accurate financial adjustments
- Strong audit compliance
- Transparency across branches and departments
- Seamless integration with accounting and inventory

1.9. Inventory Impact and Item Handling in Sales Return

All return transactions, whether initiated against an invoice or delivery note, result in corresponding updates to inventory. The system ensures that returned items are accurately re-integrated into stock while maintaining traceability and location integrity within the branch.

Returned items are systematically processed as follows:

- Items are re-entered into stock upon confirmation of return
- Original batch details, where applicable, are retained to ensure accurate stock tracking
- Items are restored to their designated storage locations within the branch based on the predefined location structure

To enhance accuracy and operational efficiency, the system supports barcode/QR-based item tracking during the return process. Salespersons can use handheld devices to scan items, enabling the system to automatically identify:

- Item details
- Original transaction reference (invoice or delivery note)
- Batch information

Storage location

1.9.1 Handling Items Without Barcode

In situations where returned items do not have an existing barcode or QR code, the system provides a controlled mechanism to maintain traceability.

- The system shall allow the generation of the barcode/QR code label from the store
- The generated barcode will be linked to:

- The original transaction (invoice or delivery note)
- Specific line-item details

- The barcode label is then printed and physically attached to the returned item

This ensures that even items without prior identification can be seamlessly tracked within the inventory system going forward.

1.9.2 Handheld Device Integration in Return Process

The system is designed to support return processing through handheld devices, enabling real-time and efficient operations at the branch level.

During the return process:

- The salesperson can use a handheld device to:
 - Scan the item barcode/QR code
 - Retrieve the original transaction details instantly
 - Identify whether the return is linked to an invoice or delivery note
- Upon scanning, the system shall:
 - Display item details, quantity, and transaction history
 - Allow the user to select full or partial return
 - Capture return quantity and reason
- The handheld device shall also:
 - Show item location within the branch
 - Guide the user to return the item to the correct storage position
- Once confirmed, the return transaction is processed in real time, and:
 - Inventory is updated immediately
 - Relevant financial adjustments (if applicable) are triggered

1.10. Commission Adjustment on Sales Return

Sales and referral commissions are typically calculated based on completed sales transactions. When returns occur, especially after commissions have been calculated or paid, the system must ensure that these commissions are accurately adjusted to reflect the revised sales value.

The system shall automatically handle commission adjustments in response to return transactions.

Commission Reversal Logic

For any returned items:

- The system shall identify:
 - The original salesperson
 - Any referral agent associated with the transaction
- The system shall:



- Reverse or proportionately adjust the sales commission
- Reverse or adjust the referral commission

This applies to both:

- Full returns (complete reversal)
- Partial returns (proportionate adjustment)

1.11. Settlement Adjustment on Sales Return

If commissions have already been processed or paid, the system shall:

- Record the reversal as a negative commission entry
- Adjust the amount in the next settlement cycle

If commissions are not yet settled:

- The system shall directly adjust the payable commission amount before payout

The system shall ensure:

- Commission adjustments are always linked to the original transaction
- No duplicate or incorrect reversal occurs
- Full audit trail is maintained for all commission changes

1.12. Less Item Handling Module (DOC-002 Reference)

The Less Item Handling Module is designed to identify and manage stock shortages at the branch level based on daily operational activities. It plays a critical role in ensuring timely replenishment of fast-moving and critical items, thereby minimizing stock-outs and improving sales continuity.

At the end of each business day, the system automatically generates a Less Item List, highlighting items that fall below predefined stock thresholds. This process considers both completed sales transactions (invoices/cash memos) and delivery note dispatches, including those not yet invoiced, ensuring a more accurate reflection of actual stock consumption.

The functional workflow of this module is aligned with the process defined in **DOC-002, Page Number 2, Point 4**, while also allowing operational flexibility for manual adjustments.

This module ensures proactive inventory management by enabling branches to request replenishment efficiently while maintaining visibility across other branches. It also supports manual adjustments, historical tracking, and inter-branch stock availability checks to facilitate informed decision-making.

1.12.1 Manual Adjustment of Less Item List

While the system generates the list automatically, operational flexibility is provided.

Functional Behaviour

The system shall allow users to:

- Manually **add items** to the Less Item List
- **Remove items** from the list

Controls

- Mandatory entry of remarks for:
 - Manual additions
 - Manual deletions

This ensures accountability and auditability for manual interventions.

1.12.2 Branch Manager Review and Submission

At the end of the day, the Branch Manager reviews the Less Item List.

Process

- Verify system-generated items
- Review manual additions/deletions
- Confirm final list

Upon confirmation:

- The Less Item List is **submitted to the store (main warehouse)** for further processing

Functional Behaviour

The system shall:

- Allow only authorized users (e.g., Branch Manager) to finalize and submit
- Lock the list after submission (editable only through controlled process)

1.12.3 Visibility and Status Tracking

Once submitted, the Less Item requests must be fully traceable.

Functional Behaviour

The system shall allow branch users to:

- View submitted Less Item Lists
- Track item-wise status such as:
 - Pending
 - Approved
 - In Process
 - Fulfilled

1.12.4 Duplication Prevention

The system shall:





- Prevent re-submission of the same request
- Provide visibility of previously submitted items and their status

This ensures:

- No duplicate requests from the same branch
- Better coordination between branch and store

1.13. Branch-to-Branch Transfer (DOC-003 Reference)

Branch-to-branch stock movement is allowed only through a controlled transfer procedure defined in **DOC-003**. This ensures inventory accuracy, accountability, and traceability across branches.

Transfers are not treated as sales; they are internal stock reallocations.

1.14. Branch-to-Garage Sales

Branches may sell items directly to garages. Garages are treated as standard customers but may have special pricing, credit terms, or contractual relationships.

Unlike transfers, this is a **full commercial sale**.

Functional Requirements

- The system shall:
 - Allow creation of sales invoices for garage customers
- The system shall:
 - Maintain garage as a customer master entity
- The system shall:
- Support:
 - Cash sales
 - Credit sales
- The system shall:
 - Generate:
 - Sales Invoice
 - Cash Memo (for immediate payment)
 - Delivery Note
- The system shall:
 - Deduct stock from branch inventory upon billing
- Cart -> Billing -> Invoice/Cash Memo -> Stock deduction -> Payment (cash/credit) -> Accounting entries

1.15. Sales Document Modules

The Sales Document Modules form the backbone of the sales lifecycle, enabling the organization to manage customer enquiries, confirm orders, execute deliveries, and complete billing transactions.

The system must support flexible document flows to accommodate real-world scenarios, such as:

- Quotation before sale
- Direct billing without quotation
- Delivery before invoicing
- Consolidation of multiple documents

All documents must be interlinked, traceable, and controlled through standardized numbering and validation rules.

1.15.1 Quotation Module

The Quotation Module is designed to manage customer price enquiries and generate formal sales quotations prior to order confirmation. It enables salespersons to prepare structured quotations with multiple line items, apply pricing rules, and share them with customers through various communication channels.

Quotations act as a **pre-sales document** and a reference for future transactions. They can be converted into Delivery Notes or Invoices, ensuring a seamless transition from enquiry to sale.

The system supports saving quotations in draft mode, allowing users to progressively build and refine quotations before final submission. It also ensures strict pricing control, prevents unauthorized discounts, and maintains a complete audit trail of all quotation activities.

The system must:

- Support creation and management of quotations with multiple items
- Enable flexible customer selection or creation during quotation
- Allow draft handling with revision capability
- Enforce pricing rules and approval workflows (Branch Manager has to Approve)
- Locking and Unlocking facility to the Branch Manager
- Provide seamless conversion to Delivery Note or Invoice
- Enable sharing of quotations with customers email and WhatsApp
- Maintain structured document numbering and version control
- Support user-friendly features such as line-item reordering

Quotation Creation

The system shall allow users to create quotations with multiple line items. Items can be added through:

- Search using item name, P-Code, OEM number, or keywords
- Barcode/QR code scanning using handheld devices
- Manual entry (where applicable)





The system shall allow:

- Selection of an existing customer from the master
- Manual entry of new customer details with option to save

Users shall be able to:

- Modify item quantities and pricing (within allowed limits)
- View item-related information such as last selling price and alternatives
- **Rearrange or shuffle line items** dynamically based on customer preference or presentation needs

Draft and Final Quotation Handling

The system shall support two stages of quotation:

1. Draft Quotation

- Users can save quotations as draft without finalizing
- Drafts remain editable at any time
- Drafts can be revisited, modified, and converted into final quotations
- Draft documents shall have a separate numbering sequence to distinguish them from finalized quotations

2. Final Quotation

- Once confirmed, the draft is converted into a final quotation
- A new unique quotation number is generated at the time of finalization

This ensures clear separation between working documents and official customer-facing quotations.

Pricing Validation and Control

The system enforces strict pricing governance to ensure consistency and profitability.

The system shall:

- Apply predefined pricing rules and discount limits
- Restrict pricing below minimum allowed thresholds
- Display relevant pricing information such as:
 - Last selling price
 - MRP
 - Customer-specific pricing (if applicable)

If a user attempts to apply pricing below the allowed level:

- The system shall trigger an approval workflow
- Approval requests shall be routed to:
 - Branch Manager
 - CPO (if required)

The system may allow limited overrides within predefined thresholds, beyond which mandatory approval is required.

Document Numbering Structure

The system shall generate unique quotation numbers using a standardized format:

Branch Code – QT / Year / AutoNumber

Example:

BR-QT/2026/000123

For draft quotations:

- A separate numbering sequence shall be maintained (e.g., DRF)
- Example: BR-DRF/2026/000045

The system shall ensure:

- No duplication of document numbers
- Proper handling of concurrent users generating quotations simultaneously

Conversion of Quotations

The system shall support seamless conversion of quotations into downstream documents:

- Quotation -> Delivery Note
- Quotation -> Invoice

During conversion:

- All line items, quantities, and pricing are carried forward
- Users may adjust quantities if required (based on rules)
- The system maintains full linkage between documents

This ensures traceability from quotation to final sale.

Export and Customer Communication

To enhance customer interaction, the system shall support multiple sharing options.

The system shall allow users to:

- Export quotations in formats such as:
 - PDF
 - Print-ready format
- Send quotations directly to customers via:
 - Email (with attachment)
 - WhatsApp (integrated sharing or link-based)



The system shall:

- Use predefined templates for consistent formatting
- Capture communication logs (optional)

1.15.2 Delivery Note (DN) Module

The Delivery Note (DN) Module is designed to manage and record the **physical movement of goods from a branch to the customer** prior to invoicing. This is particularly important in operational scenarios where delivery is completed before final billing, which is common in spare parts trading environments.

The Delivery Note serves as a **non-financial operational document** that confirms dispatch of goods and plays a critical role in inventory tracking, customer servicing, and subsequent billing processes.

The system must support flexible delivery operations, including:

- Direct deliveries without prior quotation
- Deliveries against quotations
- Partial deliveries
- Consolidation of multiple delivery notes into a single invoice

The module must ensure accurate stock movement tracking, seamless integration with the invoicing process, and complete auditability.

Business Requirements

The system must:

- Enable creation of delivery notes from multiple sources
- Support both planned (quotation-based) and unplanned deliveries
- Handle partial and multiple deliveries efficiently
- Ensure real-time or configurable stock deduction
- Maintain traceability between quotation, DN, and invoice
- Support handheld device-based operations for faster execution
- Provide export and sharing capabilities for customer communication
- Integrate DN data into reporting and replenishment mechanisms

Delivery Note Creation

The system shall allow creation of Delivery Notes through:

1. From Quotation

- Users can convert approved quotations into delivery notes
- All item details, quantities, and pricing references are carried forward
- The system allows partial or full delivery against the quotation

2. Direct Delivery (Without Quotation)

- Users can create a DN directly for walk-in or immediate delivery scenarios
- Customer can be:
 - Selected from master
 - Entered manually

Functional Behaviour

The system shall:

- Allow addition of multiple line items
- Support item selection via:
 - Search (P-Code, OEM, item name)
 - Barcode/QR scanning
- Allow editing of quantities before confirmation
- Validate stock availability before processing

Stock Handling and Inventory Impact

Delivery Notes directly impact inventory movement.

1. Stock Deduction

The system shall:

- Deduct stock at the time of DN creation:
 - Immediate deduction (real-time mode)

2. Batch and Location Tracking

- Each item movement shall:
 - Capture batch details
 - Maintain location tracking within the branch
- The system shall ensure:
 - Accurate stock visibility
 - Prevention of negative stock

Handheld Device Integration

To improve operational speed and efficiency, the system shall support Delivery Note processing via handheld devices.

- Salesperson scans items using barcode/QR code
- System automatically:
 - Fetches item details
 - Identifies batch and available stock





- User selects quantity and adds items to the delivery cart

The handheld device shall allow:

- Creation of DN directly from device
- Retrieval of quotation for conversion
- Real-time stock validation
- Display of item location within the branch
- On-the-spot confirmation of delivery

This helps:

- Faster processing during peak hours
- Reduced manual entry errors
- Improved coordination between store and sales teams

Document Numbering Structure

The system shall generate unique Delivery Note numbers using the format:

Branch Code – DN / Year / AutoNumber

Example:

BR-DN/2026/000234

- The system shall ensure:
 - Unique numbering across the branch
 - No duplication during concurrent usage

Conversion to Invoice

The Delivery Note acts as a precursor to invoicing.

The system shall allow:

- Single Delivery Note -> Single Invoice
- Multiple Delivery Notes -> Single Consolidated Invoice

Partial Delivery Handling

The system shall support partial deliveries in scenarios where:

- Full stock is not available
- Customer requests staggered delivery
- The system shall:
 - Track delivered quantity
 - Maintain balance quantity against quotation
 - Allow multiple DNs against a single quotation

This ensures accurate tracking of pending deliveries.

Cancellation of Delivery Note

The system shall allow cancellation of Delivery Notes under controlled conditions.

- User selects DN to cancel
- Mandatory entry of cancellation reason
- Approved by Branch Manager.

The system shall:

- Reverse inventory movement
- Restore stock to original location and batch
- Update delivery status

Export and Customer Communication

To facilitate communication and documentation, the system shall support export and sharing of Delivery Notes.

The system shall allow:

- Export to PDF
- Print-ready format

Customer Communication

The system shall support:

- Sending DN via Email
- Sharing via WhatsApp (PDF or link-based)

Integration with Other Modules

The Delivery Note module integrates with:

Sales Module: Forms the basis for invoice generation

Inventory Module: Updates stock movement and availability

Less Item (Replenishment) Module: DN data contributes to: Consumption tracking & Low stock identification

Reporting Module: Included in: Sales analysis, Delivery tracking reports

1.15.3 Invoice / Billing Module

The Invoice Module is the core component of the sales process responsible for generating the final financial document for goods sold to customers. It represents the completion of a sales transaction and directly impacts revenue recognition, customer receivables, inventory, and accounting records.

Invoices can be generated through multiple pathways depending on the business scenario, including:

- Conversion from Quotation
- Conversion from Delivery Note
- Direct billing (without prior documents)

The module must support both cash and credit transactions, enforce pricing controls, integrate with inventory and accounting, and provide flexibility for real-time billing using handheld devices.

The system must ensure accuracy, speed, and compliance while enabling salespersons to handle high-volume transactions efficiently.

The system must:

- Support invoice generation from multiple sources
- Handle both cash and credit customers
- Integrate with inventory, customer, and accounting modules
- Support handheld device-based billing
- Provide flexible payment options
- Enable holding and resuming transactions
- Maintain audit trails and document traceability
- Support export and digital sharing of invoices

Invoice Creation

The system shall allow invoice generation through:

- Conversion-Based Billing
- Quotation -> Invoice
- Delivery Note -> Invoice
- Multiple Delivery Notes -> Single Invoice
- Direct Billing

Invoice can be created without quotation or DN for immediate sales

The system shall:

- Allow selection or creation of customer
- Allow addition of multiple line items
- Support item entry via:
 - Search (P-Code, OEM, item name)
 - Barcode/QR scanning
- Allow quantity modification before finalization
- Validate stock availability (if not already deducted at DN stage)

- Customer and Credit Handling
- Pricing Control and Discount Handling
- Handheld Device Billing

Document Generation

The system shall generate a final Invoice document upon confirmation.

Document Features

- Unique invoice number
- Customer details
- Item details
- Pricing and tax breakdown
- Payment details

Numbering Format

BranchCode – INV / Year / AutoNumber

Example:

BR-INV/2026/000567

The system shall ensure:

- No duplication
- Proper handling of concurrent users

Export and Customer Communication

The system shall allow:

- Export Options
- PDF generation
- Print format
- Customer Sharing
- Email invoice directly
- Share via WhatsApp

Inventory Impact

Inventory impact depends on configuration:

- If stock deducted at DN stage
- No additional deduction during invoicing

Accounting Integration



The system shall automatically generate accounting entries:

- Debit: Customer (Receivable) / Cash/Bank
- Credit: Sales Account
- Credit: VAT Payable
- Credit: Referral Commission

The system shall:

- Update customer ledger
- Reflect in branch and consolidated accounts

Commission Calculation

The system shall calculate sales commission based on:

- Invoice value (excluding VAT)
- Capture:
- Salesperson
- Referral (if applicable)
- Post commissions for settlement processing

1.15.4 Cash Memo Module

The Cash Memo Module is designed to handle **fast, high-volume retail transactions**, primarily for walk-in customers where immediate payment is made at the time of sale. Unlike standard invoices, cash memos are typically used for **quick billing scenarios** with minimal customer data and no credit involvement.

This module enables salespersons to perform rapid billing using handheld devices or desktop systems, ensuring speed, accuracy, and efficiency during peak business hours.

Cash Memo transactions are **instant financial transactions**, meaning:

- Payment is collected immediately
- Inventory is updated in real time
- Accounting entries are posted instantly

The module plays a critical role in **daily cash collection, branch-level accounting, and sales performance tracking**.

The system must:

- Support quick billing for walk-in customers
- Minimize data entry while maintaining transaction accuracy
- Enable barcode/QR-based item scanning
- Support multiple payment methods including digital payments



- Integrate with inventory and accounting in real time
- Allow handheld device-based billing
- Support transaction hold and resume
- Ensure proper cash tracking and settlement
- Provide export and customer sharing options

Cash Memo Creation

The system shall allow creation of Cash Memo transactions through:

- Direct billing (no quotation or delivery note required)
- Optional conversion from:
 - Quotation (if applicable)
 - Delivery Note (if applicable)

Functional Behaviour

The system shall:

- Allow quick selection of customer:
 - Default "Cash Customer"
 - Option to select or create customer if needed
- Allow addition of items via:
 - Barcode/QR scanning (primary method)
 - Item search (P-Code, OEM, name)
- Allow:
 - Quantity modification
 - Line-item level discount (within limits)
- Handheld Device-Based Billing
- Multi-Salesperson Handling
- Sales Hold and Retrieval
- Multi payment Processing methods
- Pricing and Discount Control
- Export and Customer Communication

Document Generation

Upon confirmation, the system shall generate a Cash Memo document.

Document Features

- Unique Cash Memo number
- Item details



- Payment details
- Tax breakdown

Numbering Format

BranchCode – CM / Year / AutoNumber

Example:

BR-CM/2026/000789

The system shall ensure:

- Unique numbering
- No duplication in concurrent usage

Inventory Impact

Cash Memo transactions immediately impact inventory.

The system shall:

- Deduct stock in real time upon bill generation
- Update:
 - Batch details
 - Item location
- Prevent negative stock (based on configuration)

Accounting Integration

Cash Memo transactions directly affect financial records.

1. Accounting Entries

The system shall automatically generate:

- Debit: Cash/Bank Account
- Credit: Sales Account
- Credit: VAT Payable
- Credit: Referral Commission (if applicable)

2. Branch-Level Impact

- All transactions are recorded under branch accounts
- Included in_+:
 - Daily cash collection
 - Shop collection report

- Cash settlement process

Cash Settlement Process Integration

Cash Memo transactions are a key input to daily settlement.

The system shall:

- Track:
 - Total cash collected
 - Payment mode-wise breakdown
- Support:
 - Daily closing
 - Cash handover to main accounts
- Integrate with:
 - Cash settlement module
 - Branch-to-head office reconciliation

1.16. Other Accounting Documents Handling in Branches

In a multi-branch organization, day-to-day financial operations extend beyond sales invoices and cash memos. Branches handle various accounting-related transactions such as expenses, cash movements, adjustments, vendor-related entries, and internal transfers.

The system must provide controlled mechanisms to record, approve, and track these financial documents while ensuring consistency with centralized accounting principles. Each branch operates with financial autonomy but within a standardized framework governed by head office policies.

All accounting documents must be traceable, auditable, and properly reflected in branch-level and consolidated financial reports.

The system must support the creation and management of multiple accounting documents at the branch level, ensuring proper classification, approval workflows, and accounting entries.

Branches must be able to:

- Record operational expenses
- Handle cash movements (inflow/outflow)
- Manage internal transfers between branches or accounts
- Record miscellaneous income and adjustments
- Maintain petty cash operations
- Generate vouchers for all non-sales transactions

Each transaction must follow a structured voucher system with proper approval controls to prevent unauthorized financial activities.

The system must also ensure synchronization with the central accounting system, enabling consolidated



financial reporting across all branches and countries.

1.16.1 Cash Memo / Cash Receipt Voucher

Used to record cash inflows such as daily sales collections, customer payments, or miscellaneous receipts at the branch level.

Functional Requirements

- The system shall allow recording of cash receipts
- The system shall:
 - Capture payer details (customer/vendor/other)
 - Record payment mode (cash, bank, etc.)
- The system shall:
 - Generate a Cash Receipt Voucher (CRV)
- The system shall:
 - Update branch cash ledger in real time

1.16.2 Cash Payment Voucher

Used to record cash outflows such as expenses, payments, or reimbursements.

Functional Requirements

The system shall allow recording of payments made from branch funds

- The system shall:
 - Capture payee details
 - Record expense category
- The system shall:
 - Generate a Cash Payment Voucher (CPV)
- The system shall:
 - Deduct from branch cash/bank balance

1.16.3 Journal Voucher

Journal vouchers are used for internal accounting adjustments that do not involve direct cash movement, such as corrections, accruals, or reclassifications.

Functional Requirements

- The system shall allow creation of journal entries with:
 - Debit and credit accounts



- The system shall:
 - Ensure double-entry accounting validation
- The system shall:
 - Generate Journal Voucher (JV)
- The system shall:
 - Allow adjustments between accounts without cash impact

1.16.4 Contra Voucher

Contra vouchers are used for transactions between cash and bank accounts, such as cash deposits into bank or withdrawals from bank to cash.

Functional Requirements

The system shall allow:

- Cash -> Bank transfers
- Bank -> Cash transfers
- The system shall:
 - Generate Contra Voucher
- The system shall:
 - Update both cash and bank ledgers simultaneously

1.16.5 Expense Voucher

Expense vouchers are used to record branch-level operational expenses such as utilities, rent, transport, or miscellaneous costs.

Functional Requirements

- The system shall allow recording of expenses with:
 - Expense category
 - Amount
 - Supporting documents (attachments)
- The system shall:
 - Generate Expense Voucher
- The system shall:
 - Route transactions for approval if required

1.16.6 Petty Cash Management

Branches maintain petty cash for small day-to-day expenses. The system must track petty cash allocation, utilization, and replenishment.

Functional Requirements

The system shall allow:

- Petty cash allocation
- Expense recording against petty cash
- The system shall:
 - Maintain petty cash balance
- The system shall:
 - Support replenishment requests

1.16.7 Branch-to-Branch / Internal Transfer Documents

Branches may transfer funds or adjust balances between branches or internal accounts.

Functional Requirements

- The system shall allow:
 - Internal fund transfers between branches
- The system shall:
 - Generate transfer vouchers
- The system shall:
 - Maintain sender and receiver branch records
- The system shall:
 - Update balances in both branches

Approval Workflow

To ensure financial control, certain accounting documents must be subject to approval before posting.

Functional Requirements

The system shall support multi-level approvals based on:

- Transaction type
- Amount thresholds
- The system shall:
 - Allow approve / reject actions with remarks
- The system shall:
 - Prevent posting of unapproved documents

Approval Thumb Rule:

The Branch Manager shall initiate a request through the system to receive an amount. Upon submission,

both the requested Branch Manager and the Accounts Department will review and verify the requirement.

After verification, the Accounts Manager will provide approval. Once the approval is granted, the requesting Branch Manager can record the transaction in the system, either by cash or cheque.

Finally, the receiving Branch Manager must confirm acceptance of the amount. Only after this acceptance, the transaction will be considered valid and accounted for in the system.

1.16.8 Accounting Integration

All accounting documents must be reflected in the general ledger and integrated with the central accounting system.

Functional Requirements

- The system shall:
 - Post double-entry accounting for all vouchers
- The system shall:
 - Maintain chart of accounts mapping
- The system shall:
 - Update ledgers in real time or batch mode
- The system shall:
 - Support consolidation across branches and countries

1.16.9 Document Numbering

Functional Requirements

- The system shall generate unique voucher numbers per document type:
 - CRV / CPV / JV / CN / DN / EXP
- Format example:
 - Branch Code-DOC/Year/AutoNumber
- The system shall:
 - Prevent duplication
 - Maintain sequential numbering per branch and document type

1.16.10 Reporting

Branches and head office require detailed visibility into financial activities for monitoring and decision-making.

Functional Requirements

The system shall generate:

- Cash flow reports



- Expense reports
- Branch-wise financial summaries
- Voucher-wise transaction reports
- Ledger reports
- Trial balance (branch and consolidated)

1.17. Accounting & Branch Financial Control Module

In a multi-branch organization, financial operations are distributed across branches while centralized financial control is maintained at the main branch (head office). Each branch records its own transactions, manages cash flow, and performs daily operations independently.

However, all financial activities must ultimately be:

- Controlled centrally
- Consolidated into unified financial statements
- Audited and approved under a standardized accounting structure

This module ensures seamless coordination between branch-level accounting and head office financial oversight, including cash settlement, account head management, approvals, and reporting.

1.17.1 Chart of Accounts (Account Head Creation)

The organization must maintain a standardized Chart of Accounts (COA) across all branches. Account heads define how financial transactions are categorized and reported.

The main branch (head office) is responsible for creating and maintaining the master Chart of Accounts, which is shared across all branches to ensure consistency in accounting treatment.

Branches must not create independent account structures; instead, they must use centrally defined account heads.

Functional Requirements

The system shall allow creation of account heads at the main branch only

- The system shall support hierarchical account structure:
 - Assets
 - Liabilities
 - Equity
 - Income
 - Expenses
- The system shall:
 - Assign unique account codes
 - Support parent-child account relationships
 - Allow mapping of accounts to branches

- The system shall:

- Restrict account creation/editing to authorized users at head office
- The system shall:
 - Synchronize account heads across all branches in real time

1.17.2 Branch Accounting Entries

Each branch must record all its financial transactions using standardized accounting entries (double-entry system). These entries must be linked to the centrally defined Chart of Accounts.

Branches will generate accounting entries for:

- Sales transactions
- Expenses
- Cash receipts and payments
- Journal adjustments
- Inventory movements
- Returns and discounts

All entries must be recorded at the branch level but visible at the main branch for consolidation.

Functional Requirements

- The system shall:
 - Record debit and credit entries for every transaction

- The system shall:

Automatically post accounting entries for:

- Invoices
- Cash memos
- Returns
- Expenses
- Vouchers
- The system shall:
 - Map each transaction to relevant account heads
- The system shall:
 - Maintain branch-wise ledger balances
- The system shall:
 - Support multi-branch tagging for each entry

1.17.3 Cash Settlement to Main Branch

Branches accumulate cash from daily operations. At regular intervals, branch cash must be settled and transferred to the main branch (head office accounts department) to maintain centralized financial



control and liquidity management.

Cash settlement ensures that:

- Branch cash balances are controlled
- Excess cash is transferred to head office
- Financial reporting reflects true cash position

Functional Requirements

1. Cash Settlement Process

- The system shall allow branches to initiate cash settlement to the main branch
- The system shall:
 - Capture settlement amount
 - Record settlement date and reference

2. Accounting Entries for Cash Settlement

When a branch transfers cash to the main branch, the system shall generate the following entries:

At Branch Level:

- Debit: Inter-Branch Clearing / Head Office Account
- Credit: Cash Account

At Main Branch Level:

- Debit: Cash / Bank Account
- Credit: Inter-Branch Payable (Branch Account)

Reconciliation

- The system shall:
 - Maintain inter-branch balances
 - Allow reconciliation between branch and main accounts

1.17.4 Approval Workflow

- Cash settlement shall require approval from:
 - Branch Manager
 - Main Accounts Team
- The system shall:
 - Block settlement posting without approval

1.17.5 Main Branch Visibility & Control

The main branch (head office) must have complete visibility over all branch financial activities in real time. This includes transactions, balances, approvals, and settlements.

Main accounts should be able to monitor, audit, and intervene when necessary.

Functional Requirements

The system shall provide main branch users with:

- Real-time access to all branch transactions
- Branch-wise dashboards
- The system shall allow:
 - Drill-down into branch-level entries
 - Viewing of vouchers and journals
- The system shall:
 - Display inter-branch balances
 - Track unsettled settlements
- The system shall:
 - Provide centralized approval authority for critical transactions

1.17.6 Financial Reporting (Branch & Consolidated)

The system must generate financial statements at both branch level and consolidated level for the organization.

Each branch must be able to view its own financial position, while the main branch consolidates all branches into unified reports.

Functional Requirements

1. Branch-Level Reports

- Trial Balance (Branch-wise)
- Profit & Loss Statement
- Balance Sheet
- Cash Flow Statement

2. Main Branch (Consolidated Reports)

- Consolidated Trial Balance
- Consolidated Profit & Loss
- Consolidated Balance Sheet
- Inter-branch elimination reports

3. Balance Sheet Generation

The system shall:

- Aggregate assets, liabilities, and equity from all branches
- Apply inter-branch eliminations where necessary

- Provide both:
 - Individual branch Balance Sheet
 - Consolidated Balance Sheet

1.17.7 Inter-Branch Accounting

Transactions between branches must be properly recorded and balanced using inter-branch accounts to ensure accurate consolidation.

Functional Requirements

- The system shall:
 - Record inter-branch receivables and payables
- The system shall:
 - Maintain branch-wise clearing accounts
- The system shall:
 - Automatically reconcile inter-branch transactions

1.18. Daily Closing Process

At the end of each business day, the Branch Manager is responsible for closing all accounts to ensure a smooth continuation of operations for the next day.

This closing process includes:

- Verification of all sales invoices
- Reconciliation of cash collections
- Validation of cheque transactions
- Confirmation of bank transactions
- Generation of a daily closing report to be submitted to the Accounts Department
- Reopening on the Same Day

The Branch Manager is permitted to reopen the day's closing within the same day if required. This allows for:

- Correction of missing entries
- Adjustment of incorrectly recorded sales
- Inclusion of any transactions that were not properly entered

After making the necessary corrections, the Branch Manager must re-close the accounts for that day.

Post-Day Closure Control

Once the day has ended and the closing is completed:

- The closed accounts cannot be reopened on the next day by the Branch Manager

- The closing is considered final unless reviewed by the Accounts Department
- Adjustments After Final Closure

If any discrepancies or adjustments are identified after the day has been officially closed:

- Only the Accounts Department has the authority to reopen the closed accounts
- Reopening must be done with a valid reason and proper documentation
- All adjustments must be recorded and audited before final re-closure

This process ensures:

- Financial accuracy
- Proper accountability
- Controlled access to financial data
- Audit compliance

1.19. Audit & Control

The Sales Module incorporates a comprehensive audit and control framework to ensure full transparency, accountability, and compliance across all branches, transactions, and device-based operations. Every activity—covering quotations, delivery notes, invoices, cash memos, returns, less item requests, and accounting entries—is systematically logged with user identity, timestamps, branch details, and status changes, enabling complete traceability throughout the transaction lifecycle. The system enforces strict data integrity by preventing deletion of posted or finalized documents and instead supports controlled cancellations and reversal entries with mandatory reasons and appropriate authorization. Sensitive operations such as pricing overrides, credit limit exceptions, discounts, and return processing are governed through structured approval workflows involving authorized personnel such as Branch Managers, Chief Purchase Officer (CPO), and Accounts Department, with full tracking of approvals, rejections, and remarks.

In addition, the system extends audit and control mechanisms to handheld devices used by sales personnel. All actions performed via handheld devices—such as item scanning, cart creation, cart transfers/share, item additions/removals, and final billing—are tracked with device identifiers, user login details, time stamps, and location/branch association. The system ensures that transactions initiated on handheld devices are securely synchronized with the central system in real time or near real time, maintaining consistency across inventory, sales, and accounting records. Any discrepancies, overrides, or offline activities (if supported) are logged and reconciled upon synchronization. The concept of cart ownership ensures that the salesperson who finalizes the transaction is accountable for the sale, enabling accurate sales performance tracking and commission calculation.

Overall, the audit framework ensures end-to-end traceability of all transactions across both system and handheld interfaces, maintains strong controls over financial and operational activities, and provides complete visibility to management and accounts teams in a multi-branch environment. This ensures data integrity, prevents unauthorized manipulation, supports compliance with accounting standards, and enables reliable monitoring, reporting, and decision-making across the organization.

1.20. Pricing Update Notification

The Pricing Update Notification mechanism in the Sales Module ensures that any changes to item pricing are effectively communicated and consistently applied across all branches, users, and devices, including handheld devices. When pricing updates are made—whether due to cost changes, supplier revisions, promotional adjustments, or management decisions—the system shall capture these updates centrally and propagate them in real time or near real time to all connected branches and devices. The system shall generate notifications to relevant users, such as branch sales teams, managers, and handheld device users, highlighting the updated prices, effective dates, and impacted items. These notifications ensure that users are always working with the latest approved pricing, thereby avoiding discrepancies during quotation creation, delivery processing, and billing.

In addition, handheld devices shall automatically sync the latest pricing data, and any transaction created using outdated pricing (due to offline mode or delayed sync) shall be flagged for review upon synchronization. This ensures consistency, prevents unauthorized pricing deviations, and maintains financial integrity across the organization while supporting operational efficiency and timely communication of pricing changes.

1.21. Conclusion

The Sales Module provides a comprehensive, integrated, and scalable solution for managing the complete sales lifecycle across a multi-branch, multi-location organization. It is designed to handle the operational complexities of a spare parts trading business, where speed, accuracy, and flexibility are critical to daily operations.

The module seamlessly connects all key stages of the sales process, including **customer enquiry, quotation, delivery, billing, returns, and accounting**, ensuring a smooth and controlled flow of transactions. By supporting multiple document flows such as Quotation, Delivery Note, Invoice, and Cash Memo, the system accommodates diverse business scenarios, including delivery-before-invoice workflows and high-volume retail sales.

A key strength of the system lies in its **real-time integration across inventory, customer management, and accounting**, ensuring that all transactions are accurately reflected across operational and financial records. The inclusion of unified return handling, covering both invoice-based and delivery note-based returns, further enhances flexibility while maintaining strict control and traceability.

The system emphasizes **strong governance and control mechanisms**, including pricing restrictions, credit limit validations, approval workflows, and audit trails. These controls ensure that business risks are minimized while still allowing operational flexibility within defined boundaries.

The adoption of **handheld device integration** significantly improves efficiency at the branch level by enabling real-time item scanning, faster billing, and seamless transaction handling during peak business hours. Features such as cart transfer, sales hold, and multi-user collaboration further enhance usability in high-demand environments.

Additionally, the module supports **digital transformation of customer interactions** through export and sharing capabilities, including email and WhatsApp integration, improving customer experience and communication.



From a financial perspective, the module ensures accurate handling of:

- Revenue recognition
- Customer receivables
- Cash transactions
- Commission calculations
- Branch-level and consolidated accounting

The integration of supporting processes such as **less item management, stock tracking, credit control, and daily cash settlement** ensures that the system not only supports sales execution but also contributes to effective inventory planning and financial management.

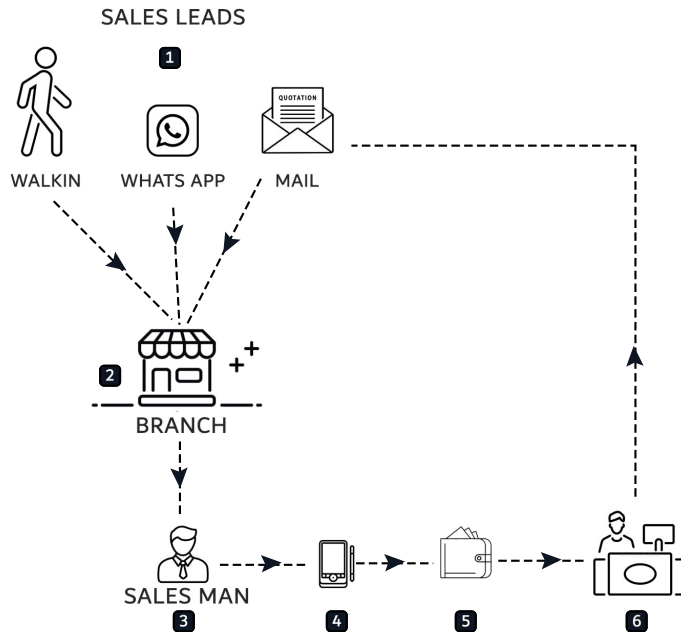
Overall, the Sales Module delivers:

- End-to-end visibility of sales operations
- Improved speed and efficiency in transaction processing
- Enhanced control over pricing and credit risks
- Accurate and real-time inventory and financial updates
- Transparent performance tracking of sales personnel and branches

By combining operational flexibility with strong control mechanisms, the system enables the organization to achieve higher efficiency, better decision-making, and improved customer satisfaction, while maintaining full accountability and audit compliance across all branches.

END OF SESSION

SALES LEAD AND BILLING PROCESS



Work Flow

- 1) All sales leads will be received at the branch through walk-in customers, WhatsApp, email, or through quotation/plain requests.
- 2) A sales representative will be assigned to attend each request. Once a sales person takes ownership of a lead, they will handle the complete process.
- 3) Using a handheld device, the sales person will create a **customer wallet** for the lead.
- 4) After the wallet is created, the sales person will add items based on the customer's requirement by scanning the QR code or barcode of each item. These items will be added to the wallet.
- 5) Once all required items are added, the sales person will complete the entry and forward the wallet to the sales counter.
- 6) At the sales counter, the counter staff or sales person will review the wallet and generate the final invoice for the customer.

System Tracking and Performance Monitoring

Throughout this process, the system will automatically track:

- Sales person performance
- Number of customers attended
- Conversion of leads to sales
- Overall transaction activity

This ensures better monitoring, accountability, and performance evaluation of the sales team.